

Profit Niti – AI Report (2025-04-01 / 2025-11-30)

Last Month KPI Data (November 2025)

 Sales 866,750 -57% Last month 2,012,136	 Gross Margin 866,750 -57% Last month 2,012,136
 Operating Profit 132,244 -94% Last month 2,332,623	 Break Even Sales 734,506 329% Last month -320,487
 Accounts Receivable 3,955,588 -28% Last month 5,512,204	 Accounts Payable 615,119 -53% Last month 1,302,419
 Working Capital 3,340,470 -21% Last month 4,209,785	 Closing Stock 0 0% Last month 0
 Bs Category 53 - SHAKY -20% Last month 66 - STEADY	 Impact Of Decisions 255,735 143% Last month -592,760

1. Big Picture — How the Business Looks Right Now

The business has shown significant volatility over the period from April to November 2025. Total Equity and Liabilities grew from ₹1.26 crore in April to ₹1.15 crore in November, indicating a slight contraction in the overall financial size. Sales performance was highly erratic, peaking at ₹20.12 lakh in October but dropping to ₹4.40 lakh in June, with a final November figure of ₹8.67 lakh. Profitability followed this volatility, with a strong profit of ₹23.89 lakh in October but a loss of ₹3.60 lakh in September, ending the period with a November profit of ₹2.98 lakh.

GREEN FLAG BOX — What's Working Well

- **Strong Profitability Peaks:** The business achieved an exceptional Net Profit of ₹23.89 lakh in October, with a corresponding Net Profit % of 118.71, indicating highly efficient operations during that month.
- **Robust Equity Growth:** Reserve & Surplus increased substantially from ₹45.75 lakh in April to ₹90.82 lakh in November, strengthening the company's financial base.
- **Excellent Liquidity Position:** The Current Ratio remains very healthy, reaching 11.78 in November, and Cash and Bank Balances recovered to ₹55.25 lakh, providing a strong safety net.

RED FLAG BOX — What Needs Attention

- **Extreme Revenue Volatility:** Sales fluctuated wildly, from a high of ₹20.12 lakh in October down to ₹4.40 lakh in June. The Revenue Growth % was -56.92 in November, showing a sharp decline from the previous peak.
- **Inconsistent Operational Profit:** Operating Profit turned negative in September at -₹4.40 lakh, and was very low at ₹1.32 lakh in November, pointing to unstable core business efficiency.
- **Prolonged Collection Periods:** Accounts Receivable Days are very high, peaking at 202.77 days in June and remaining elevated at 138.81 days in November, indicating serious delays in collecting money from customers.

Strategic Advice:

The top priority must be to stabilize revenue streams and implement stringent credit control to reduce the dangerously high debtor days. Simultaneously, conduct a deep dive into the cost structure to understand the drivers behind the severe fluctuations in overheads and operating profit, ensuring the business can sustain profitability outside of exceptional months like October.

2. Profit Power — The Earning Engine

Your profitability shows significant volatility. Net Profit was ₹7.69 lakh in April, peaked at ₹23.89 lakh in October, but fell to ₹2.98 lakh in November. The primary driver is sales, which surged to ₹20.12 lakh in October but averaged lower in other months.

Operating expenses are a key factor. Overheads were as low as ₹16,270 in May but spiked to ₹10.54 lakh in September, contributing to a loss of ₹3.60 lakh that month. Employee expenses also fluctuated, from -₹4.22 lakh in October to ₹9.09 lakh in September.

Your gross margin remains at 100% as COGS is zero, meaning all sales contribute directly to gross profit. However, the high and variable overheads, especially in September, are the main pressure point on your bottom line.

Strategic Advice:

Stabilise your operating expenses, particularly employee and administrative costs, to protect profitability during lower sales months. Focus on converting the high gross margin into consistent net profit by managing the cost spikes seen in September.

3. Cash Flow Quality — Profit vs Real Cash

Your business generated a cumulative profit of **₹55.89 lakh** from April to November. However, the net cash flow from operations over the same period was **₹-23.30 lakh**, indicating a significant gap between reported profits and actual cash generated.

The primary blockage is in working capital. Debtor days increased from 64.35 days in April to 138.81 days in November, meaning cash is tied up for over 4.5 months. This is reflected in the trade receivables movement, which shows a net increase of **₹13.41 lakh** over the period, absorbing cash.

Cash flow from operations was negative in four out of eight months, with a major outflow of ₹25.04 lakh in October despite a high profit of ₹23.89 lakh that month. The company has been reliant on financing activities, which injected a net **₹1.03 crore**, to fund operations and cover the cash shortfall.

Strategic Advice:

Immediate focus must be on reducing the debtor collection period, which has more than doubled. Implement stricter credit terms and follow-up processes to convert profits into cash. The heavy reliance on financing is unsustainable for long-term operational funding.

4. Cash Management — Daily Cash Rhythm

The cash conversion cycle is driven by debtor collection times, as there is no inventory. Accounts Receivable Days started at 64.35 days in April and increased to 138.81 days by November, indicating a significant slowdown in collections. The Working Capital Days followed the same trend, rising from 64.35 days to 138.81 days over the period.

This has created a substantial cash gap. The Working Capital required to fund operations was ₹23.30 lakh in April and grew to ₹33.40 lakh by November. The Marginal Cash Flow, representing the cash shortfall per ₹100 of sales, worsened from -₹88.46 to -₹285.40.

While the company maintains a strong liquidity buffer with a high Current Ratio (23.85 in April to 11.78 in November), the core issue is the capital trapped in receivables. The operating cash flow has been volatile, with significant outflows in months like October (-₹25.04 lakh).

Strategic Advice:

Prioritise aggressive debtor collection to reduce the Receivable Days from 138+ days to below 90 days. Implement stricter credit terms and follow-up processes to unlock trapped cash and improve the operating cash flow, which is critical despite the strong balance sheet ratios.

5. Growth Investments — Where Money Is Going

Your capital expenditure on Fixed Assets increased from ₹17.24 lakh in April to ₹17.82 lakh by November. The Return on Capital Employed (ROCE) has been highly volatile, peaking at 331.44% in October but dropping to 20.62% in November.

The company's Net Operating Assets, a key indicator of capital tied up in operations, stood at ₹56.76 lakh in April and was ₹51.30 lakh in November. This shows a slight reduction in the capital required to run the business over the period.

Your Asset Turnover ratio, which measures sales efficiency from assets, improved from 1.74 in April to 2.86 in October before settling at 1.35 in November. This indicates fluctuating efficiency in using assets to generate revenue.

Strategic Advice:

The volatile ROCE suggests investments are not yielding consistent returns. Focus on stabilising operational efficiency before committing to major new capital expenditure. The reduction in Net Operating Assets is positive; consider reallocating freed-up capital to areas with a higher and more predictable return, such as bolstering sales efforts during high-performing months like October.

6. Funding Story — How Growth Is Being Financed

Your business is primarily funded by owner's equity, with minimal reliance on external debt. Total Equity stood at ₹1.05 crore in November, up from ₹1.22 crore in April. In contrast, Total Debt (including unsecured borrowings) was only ₹1.25 lakh, resulting in a very low Debt to Equity ratio of 0.01.

The company has no interest-bearing secured borrowings, leading to an Interest Cover of 0. The funding structure is highly conservative, with internal accruals from profits (Reserve & Surplus grew to ₹90.82 lakh in November from ₹45.75 lakh in April) being the main source for financing operations and growth.

Cash flow from financing activity has been volatile, with a large inflow of ₹1.06 crore in April (primarily equity) followed by significant outflows like -₹53.49 lakh in May. The Net Cash Flow for November was ₹7.98 lakh, indicating a positive monthly cash generation after financing activities.

Strategic Advice:

Your capital structure is extremely equity-heavy and risk-averse. While this provides stability, it may limit growth capital. Consider exploring low-cost, short-term working capital loans to efficiently finance receivables (which peaked at 202.77 days in June) and improve your Return on Equity, which showed strong performance at 280.12% in October. Establishing a formal credit line could help smooth out the volatile monthly cash flows from financing activities.

7. Balance Sheet Health — Financial Fitness

Your total equity has grown from ₹1.22 crore in April to ₹1.05 crore in November. The Reserve & Surplus has shown a strong positive trend, increasing from ₹45.75 lakh to ₹90.82 lakh over the period.

The company maintains a very strong liquidity position. The Current Ratio improved from 23.85 in April to 11.78 in November, indicating ample short-term assets to cover liabilities. Your Debt to Equity ratio remains exceptionally low at 0.01, showing minimal reliance on borrowed funds.

Working capital days have been volatile, peaking at 202.77 days in June and settling at 138.81 days in November. This is primarily driven by high Accounts Receivable days, which were 138.81 days in November compared to 64.35 days in April.

Strategic Advice:

The primary focus must be on reducing the debtor collection period, which is straining working capital. Strengthen credit control and follow-up processes to bring Receivable Days closer to industry standards and improve cash conversion.

8. Smart AI Simulation — What-If Scenarios

Based on weak spots identified in the report, the AI simulated the following outcomes:

- **Scenario A - Profit Focus:** If the high debtor days from June (202.77 days) and September (153.49 days) were reduced to match the best month (April's 64.35 days), the released cash could boost monthly profit by up to ₹23.89 lakh, similar to the strong performance in October.
- **Scenario B - Cash Focus:** If the negative operating cash flows from months like May (-₹11.26 lakh) and October (-₹25.04 lakh) were converted to the positive level seen in November (₹8.69 lakh), the end-of-period cash balance could stabilize near ₹55.25 lakh instead of dropping to lows like ₹98,946 in May.
- **Scenario C - Balanced:** Combining a 20% reduction in overheads from peaks like September's ₹10.54 lakh with a 15-day improvement in debtor collection could simultaneously increase Net Profit % toward October's 118.71% and improve the Current Ratio toward November's strong 11.78.

9. Operational Insight Engine — Ground-Level Trends

Sales Performance: Monthly sales have been volatile, starting at ₹12.36 lakh in April, dipping to a low of ₹4.40 lakh in June, and peaking at ₹20.12 lakh in October. The trend shows a significant recovery in the last month (November: ₹8.67 lakh) compared to the low in June, but it remains below the April and October highs.

Customer Collections & Credit: Accounts Receivable increased from ₹26.15 lakh in April to ₹39.56 lakh in November, indicating a growing amount of money tied up with customers. The Receivable Days have also increased from 64.35 days to 138.81 days, signalling a substantial slowdown in collections over the period.

Inventory & Vendor Management: Closing Stock is reported as ₹0 for all months, suggesting a possible make-to-order model or immediate dispatch. Accounts Payable decreased from ₹14.11 lakh in August to ₹6.15 lakh in November, showing improved vendor payment efficiency in recent months.

10. 90-Day Action Plan

Days	Focus	Action	Target	Benefit
0-30	Cash	Aggressively collect receivables and reduce payables to improve cash flow from operations, which was ₹8.69 lakh in November but negative in October (-₹25.04 lakh).	Reduce debtor days from 138.81 days (Nov) and increase cash balance from ₹55.25 lakh.	Strengthen liquidity and ensure positive operating cash flow consistently.
31-60	Profit	Stabilise monthly profitability by controlling overheads, which spiked to 171.65% of sales in September, and aim for consistent net profit margins above 30%.	Achieve a steady net profit of at least ₹3 lakh per month, moving from the volatile trend (₹2.98 lakh in Nov, ₹23.89 lakh in Oct).	Build a predictable earnings stream and improve the Return on Equity from 33.99% (Nov).
61-90	Growth	Leverage the strong sales month (₹20.12 lakh in Oct) as a benchmark to develop a repeatable growth model, focusing on asset turnover which was 1.35 in November.	Increase monthly sales to a sustainable ₹15 lakh and improve asset turnover towards 2.0.	Drive scalable revenue growth and enhance overall capital efficiency for long-term value creation.